

Have you addressed tax efficiency with your portfolio decisions? In terms of preparing your portfolio for retirement income, we must consider the cost basis and tax implications of any portfolio changes. This may require a gradual implementation of changes to reduce the tax impact. For tax efficiency, we consider how to best locate assets between taxable, tax-deferred, and tax-free accounts, as well as where to take distributions from in order to best manage taxes. Tax efficiency in retirement also requires careful implementation of tax bracket management, which involves not wasting space to pay taxes when it is possible at a relatively low tax bracket, in order to avoid having to pay taxes later at a higher tax bracket. We must also consider RMDs as part of a long-term plan to manage taxes. Strategies include potentially converting IRA assets to a Roth IRA and taking portfolio distributions in such a manner that tax-free resources are used to obtain additional distributions that would otherwise be taxed at a higher rate.

Personal Benchmark Analysis©

Another step in the journey is to develop your Personal Benchmark Analysis. This is how we approach the common topic of using Monte Carlo simulations to test a financial plan. To expand on the funded ratio analysis, the Personal Benchmark Analysis tests whether the distributions required from your investment portfolio to meet your spending goals will be sustainable to your planning age under different simulated market return sequences. This step incorporates market volatility and asset allocation to test the overall viability of your financial plan. It reports probability of success, and various strategic allocations for the RIO-Map can potentially change this probability of success. With the inStream software originally developed at McLean Asset Management, your investment performance is aggregated, and your Personal Benchmark Analysis is rerun behind the scenes on a nightly basis with the daily market updates. Your advisor is provided with an alert if anything about your financial plan falls outside of the thresholds you set. If you tend to worry about the markets, this may help to reduce your worry, because you can be confident that the plan is being tested daily, and you will be notified if there is some corrective action that should be taken.